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Report Highlights:

Taiwan's soybean imports are forecast at 2.65 MMT for MY2022/2023 and MY2023/2024. In MY 2021/2022, Taiwan imports of soybeans reached a record high of $1.74 billion. To stabilize commodity prices and reduce inflationary pressure for consumers, since February 2022 Taiwan has waived business taxes on imported soybeans, currently set to expire on June 30, 2023. This move has kept soybean imports stable despite the reduced feed demand due to HPAI. The Russia-Ukraine war and inflationary pressures from global recoveries continue to be the main sources of price volatility affecting Taiwan's soybean import decisions.

Oilseed, Soybean

Production

There is minimal soybean production in Taiwan due to the predominance of rice and other crops, lack of available farmland, and the competitiveness of imports.

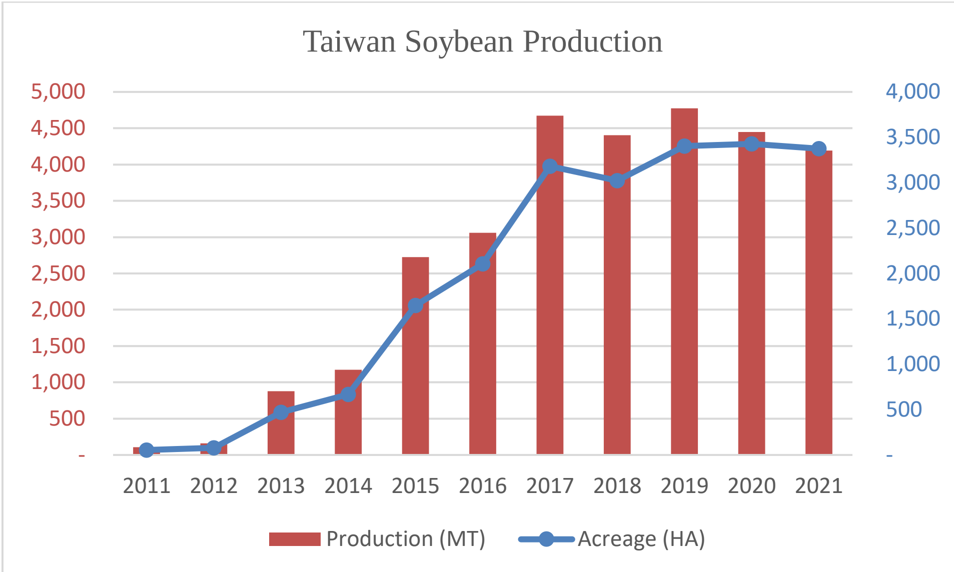
MY2022/2023 and MY2023/2024 production are forecast at 6,000 MT. The Taiwan Council of Agriculture (COA) intends to increase planted acreage to 5,000-6,000 HA from 4,000 HA in MY2021/2022.

Since 2013, COA has offered subsidies for planting import-dependent crops in rotation with rice to decrease excess rice production and slightly reduce import dependence. However, planting expansion seems to have reached a barrier with lower yields and lack of price competitiveness against imports limiting the market opportunities for domestically produced soybeans.
In 2022, when the Russian invasion of Ukraine moved food security to the front and center as a major topic of public concern in Taiwan, COA made a renewed push for domestically grown soybean.

Supported by COA, the Soybean Industry Strategic Alliance was launched on January 17, 2022 by 55 farmer's groups in order to spur increased soy plantings. Its objectives are: 1) Increase Taiwan's soybean production from 5,000 MT to 25,000 MT in 5 years; 2) Increase the planted area to 10,000 HA; 3) Increase domestic soybean production to provide 10 percent of food soybean consumption use according to COA.

It remains to be seen how much actual production can be expanded when Taiwan is also aiming to increase corn production to substitute some imports during the current Russia-Ukraine crisis.
Due to higher production cost against imported alternatives, domestic soybeans struggle to find a market with the relatively small exception of higher-value products which promote local identity among conscious consumers.

Exhibit 1: Taiwan Soybean Production by Area and Volume, 2011-2021



Source: Council of Agriculture (COA)

Consumption

MY2023/2024 domestic consumption is forecast to recover to 2.68 MMT. MY2022/2023 domestic consumption is estimated at 2.61 MMT due to weaker poultry feed demand in the first half of 2023. MY2021/2022 consumption was 2.68 MMT based on higher crush rate.

MY2022/23 and MY2023/24 soybean crush are forecast at 2.03 MMT and 2.08 MMT, respectively. MY2021/2022 soybean crush was 2.08 MMT based on Taiwan Ministry of Economic Affairs (MOEA) statistics.

Domestic meal consumption, exports, and soybean oil demand have sustained the crush rate. However, the limited growth opportunity for vegetable oil consumption as well as constraints on the local livestock industry continue to put a limit on future growth for soybeans.

MY2022/2023 and MY2023/24 food consumption are forecast flat at 300,000 MT, unchanged from MY2021/2022. Consumption is recovered from the COVID-related dip in MY 2020/2021 by the recovery in domestic travel and activities from pandemic especially in the hotel, restaurant, and institutional (HRI) sector.

MY2023/2024 feed, seed, waste consumption is forecast to increase to 300,000 MT. MY2022/2023 feed waste consumption is estimated down 20,000 MT from the previous forecast to 280,000 MT due to weakness in feed demand. The main item in this category is full fat soybean which covers the remaining protein feed need from soybean meal and other oilseeds meal substitutes. Buyers prefer full fat soybeans when vegetable oil supply is tight and prices are relatively expensive. Some of Taiwan's feed millers without associated soybean crush plants will import soybeans directly to make use of full fat soybeans when it is economical.

Trade

Taiwan relies on imports to meet 99 percent of its soybean demand. MY2022/2023 and MY2023/2024 soybean imports are both forecast at 2.65 MMT.

Containerized shipping is an advantage for U.S. exports, since buyers can get more regular shipments and use the free time provided at port as a temporary storage solution. Logistical challenges in MY 2020/2021 impacted the regular flow of containerized soybeans. In MY2021/2022 with the containerized shipping issues fresh in memory, Taiwan's buyers continued to purchase regular bulk vessels and used containerized shipment as a supplement.

MY2022/2023 U.S. export sales are currently (at the time of publication) slightly behind the same period in the previous MY as the export season switches to South America (See Exhibit 2).

Taiwan's feed industry relies heavily on imports to produce feed. As a measure to lessen the inflationary pressure from imports and stabilize feed prices to lessen the burden on the livestock and poultry industries, the government announced policies to waive the five percent business tax on corn and soybean imports. Business tax reduction has been insufficient to offset the increased costs and feed prices continued to rise in 2022. The measure has been extended five times and is currently set to expire on June 30, 2023.

Rumors that the tax waiver would end before January 2023 front-loaded some soybean imports. However, the situation was not as widespread as with corn. For the first three months of MY2022/2023 (October to December), import volume increased 24 percent year-on-year (YoY), though the price incentives of U.S. bulk shipments may have been another factor.

Containerized Soybean Exports

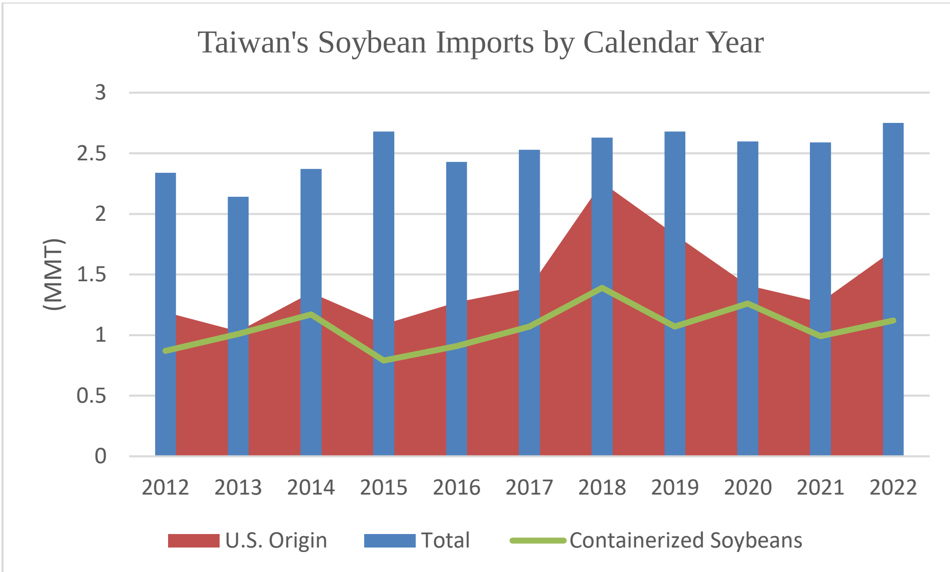
From January to November 2022, 17 percent of all U.S. containerized grain and oilseed exports went to Taiwan, which was the top destination market. (See USDA Agricultural Marketing Service report, p.20)

Containers offer flexibility and discretion versus bulk vessels. With limited grain storage facilities in Taiwan, buyers also value the free time and detention provided. Containerized shipping remains the preferred method for importing food grade and non-GE soybeans.

In CY2022, Taiwan imported 1.1 MMT, or 41 percent, of its soybeans through containers out of 2.74 MMT of total imports, representing an increase of five percent from the previous year. Containerized shipment accounted for 60 percent of Taiwan's U.S. soybean imports, a decline from 78 percent in 2021.

The decline can be attributed to the competitiveness of U.S bulk vessels against other origins in 2022, when U.S. market share as a whole increased from 55 to 59 percent.

Exhibit 2: Taiwan Soybean Imports from United States and World, 2012-2022



Source: Taiwan Customs Statistics

Non-GE Imports

MY2021/2022 imports of non-GE soybeans were 86,699 MT, an increase of 11 percent YoY. In MY2021/2022, Canada took 58 percent (50,469 MT) of the non-GE soy market share, followed by the United States at 37 percent (31,912 MT). The United States has recovered market share from Canada due to competitive pricing and improved logistics. Non-GE exports are heavily dependent on containerized shipments.

HS Codes Separate Feed or Other Use

Since November 2014, Taiwan has required that GE and non-GE soybean shipments enter under separate HS codes. In May 2019, Taiwan further divided the codes for "other" or feed use. Soybeans are still imported mostly under "other" use, which has the flexibility to go into food or feed. In MY2021/2022, there were 7,065 MT of U.S. imports filed under the GE feed code (same as the previous MY). FAS Taipei expects most imports will continue to be under the "Other" use category (See Exhibit 3) because it retains the flexibility of end use.

Exhibit 3: MY2021/2022 Imports Breakdown by Customs Code (MT)

12019000916	GE Imports	Other Use	2,519,836
12019000925	Non-GE Imports	Other Use	86,699
12019000211	GE Imports	Feed Use	7,065
12019000220	Non-GE Imports	Feed Use	0

Source: Taiwan Customs Statistics

Black Soybean Imports

Black soybean is widely utilized in Taiwan for food processing and manufacturing for its supposed health benefit and consumer preference. It is the only category of soybean for which imports from China are permitted. China has remained the biggest supplier, while the United States and Canada are a distant second and third. Taiwan has limited local production for black soybean (included in the soybean production statistics), mostly grown under contract. Domestic black soybean production expansion faces the same challenges as regular soybean. In MY2021/2022, 8,511 MT of black soybean was imported in which 7,095 MT (83 percent) came from China.

Stocks

MY2023/2024 ending stocks are forecast at 167,000 MT due to restocking from imports. MY2022/23 ending stocks are estimated to increase to 186,000 MT.

Buyers remains conservative in the current high-uncertainty environment (including, among other factors, the Russia-Ukraine conflict) and will purchase when needed. With limited commercial storage options in Taiwan as well as the frequent but delayed containerized shipments supplementing demand, crushers do not typically keep excess stock levels. MY2021/2022 ending stocks were 135,000 MT as domestic consumption drew down stock.

Oilseed, Soybean: Production, Supply, and Distribution

Oilseed, Soybean	**2021/2022**		**2022/2023**		**2023/2024**	
Market Year Begins	**Oct 2021**		**Oct 2022**		**Oct 2023**	
Taiwan	**USDA Official**	**New Post**	**USDA Official**	**New Post**	**USDA Official**	**New Post**
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	4	4	4	5	0	5
Beginning Stocks (1000 MT)	183	183	188	135	0	186
Production (1000 MT)	5	5	5	6	0	6
MY Imports (1000 MT)	2750	2622	2750	2650	0	2650
Total Supply (1000 MT)	2938	2810	2943	2791	0	2842
MY Exports (1000 MT)	0	0	0	0	0	0
Crush (1000 MT)	2100	2075	2150	2025	0	2075
Food Use Dom. Cons. (1000 MT)	300	300	300	300	0	300
Feed Waste Dom. Cons. (1000 MT)	350	300	300	280	0	300
Total Dom. Cons. (1000 MT)	2750	2675	2750	2605	0	2675
Ending Stocks (1000 MT)	188	135	193	186	0	167
Total Distribution (1000 MT)	2938	2810	2943	2791	0	2842
Yield (MT/HA)	1.25	1.25	1.25	1.20	0	1.20
(1000 HA) ,(1000 MT) ,(MT/HA)						

Soybean Meal

Production

MY2023/2024 soybean meal production from crushing is forecast to recover to 1.63 MMT. MY2022/23 soybean meal production is estimated to decline to 1.6 MMT due to weakness in feed demand.

Taiwan's annual soybean crush has fluctuated around 2.0 to 2.1 MMT in recent years. Crushers will optimize their crushing pace to keep their soybean meal and oil stock levels in balance. Crushing operations have consolidated with two large plants (Central Union & TTET) and two smaller crushing plants (Everlight & Tai-Sugar). Daily combined crushing capacity is 9,000 MT with annual total capacity at 3 MMT. The average capacity utilization rate is around 65 percent.

According to MOEA's statistics, MY 2021/2022 crush volume increased slightly, by 25,000 MT, over the previous MY.

Taiwan crushers have developed an export trade flow for soybean meal in recent years, which can serve as an alternative outlet when stock begin to build up. Thus, MY 2022/2023 crush will likely be sustained despite the short-term weakness in feed demand.

Consumption

New National Soybean Meal Standard

In October 2021, Taiwan modified its soybean meal standard with two different grades for soybean meal (44%; 42%) and dehulled soybean meal (48%; 46%) on protein levels.

Multiple factors including climate change and breeding have led to decreased soy protein level in recent years. As a result, soybean meal sometimes has had difficulty meeting Taiwan's previous standard for protein of 43 percent for soymeal and 48 percent for dehulled soymeal. In theory, this would be beneficial to U.S. west coast soybeans as its protein levels are usually lower than either U.S. east coast or Brazilian soybeans. To date, FAS Taipei has not observed any discernable impact on trade.

Feed Demand

MY2023/24 soybean meal consumption is forecast at 1.63 MMT, an increase from MY2022/2023 at 1.60 MMT. MY2021/2022 soybean meal consumption was 1.63 MMT.

Soybean meal consumption closely tracks annual feed production in Taiwan. In CY2021, Taiwan feed production was 8.59 MMT with poultry feed and hog feed accounting for 48 percent and 43 percent, respectively.

Overall feed demand in 2023 will remain constrained, as poultry feed demand is unlikely to recover from Highly Pathogenic Avian Influenza (HPAI) losses until the second half of 2023.

Since soybean meal inclusion is generally less for poultry feed than hog feed, the impact on soybean meal demand is expected to be milder than with corn.

Taiwan's on-farm production is concentrated in hog feed. Non-integrated hog farmers still prefer buying corn and soymeal separately versus commercially produced feed. As a result, commercial poultry feed production is higher than hog feed. As consolidation in the livestock industry continues, commercial feed is expected to gain against on-farm feed.

Exhibit 4: Taiwan Feed Production (MMT)

	Total Feed	Feed type	Hog feed		Poultry feed	
2017	7.62	Commercial	3.21	1.23	3.66	3.52
		On Farm		1.98		0.14
2018	7.71	Commercial	3.20	1.25	3.76	3.61
		On Farm		1.96		0.15
2019	8.63	Commercial	3.74	1.30	4.10	3.82
		On Farm		2.43		0.28
2020	8.64	Commercial	3.83	1.34	4.05	3.82
		On Farm		2.48		0.23
2021	8.59	Commercial	3.75	1.40	4.09	3.91
		On Farm		2.35		0.18

Sources: COA

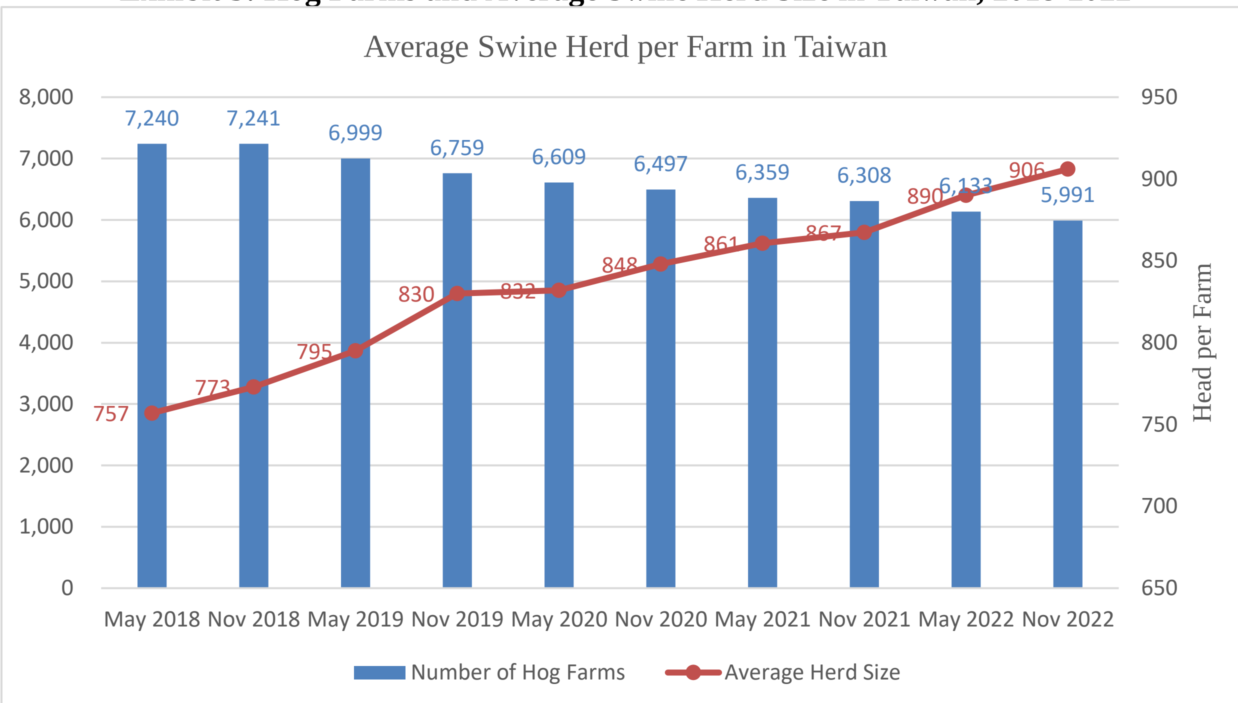
According to the latest survey by COA, conducted in November 2022, 90 percent of hog producers in 2023 intend to keep their herd sizes similar to last year. Producers above 1000 head (currently accounting for 72 percent of total head) are expected to increase in proportion as small and less efficient operations go out of business. 95 percent intend to keep a similar scale as the previous year while the small remainder split almost evenly on expansion and contraction.

Feed costs, although not as high as in CY2022, are likely to impact margins, and consolidation in the industry is expected to continue (see Exhibit 5).

Taiwan's successful efforts in preventing African Swine Fever (ASF) thus far have allowed the hog industry to operate as normal. New infections continue to appear across Asia; only Japan and Taiwan within the region remain free of domestic ASF cases.

Since June 2020, the World Organization for Animal Health (WOAH) has recognized Taiwan as Foot and Mouth Disease- (FMD) free without vaccination. COA continues to prioritize recognition for Classical Swine Fever (CSF)-free status to pave the way for eventual reopening of fresh pork exports. However, potential export opportunities are expected to be limited as Taiwan is unlikely to be competitive due to high production costs.

Exhibit 5: Hog Farms and Average Swine Herd Size in Taiwan, 2018-2022



Source: COA

With poultry, Taiwan has been facing a supply shortage of eggs intermittently since the beginning of CY2022. The island is desperately in need of imported breeder chickens to rebuild and replenish both meat and egg poultry stock. However, as HPAI spread throughout the world in 2022, the supply of breeder chickens has been constrained. In November 2022, the first local case of H5N1 was first detected in a breeding duck farm in Yilan County. Since then it has spread within Taiwan. From January to March 2023, there were 30 reported cases of on-farm outbreaks further straining supply.

According to COA statistics, 23.6 to 24 million eggs are consumed daily in Taiwan. In late February/early March, daily production can only supply 22.2 million eggs. COA has encouraged egg imports to fill the gap, as well as importing egg-laying hens for replacement. Despite the short-term pressure on feed demand, the longer-term impact should be minimal as replacement and restocking will boost demand.

Demand for animal products was buoyed by domestic consumption from the pandemic recovery. Taiwan only started to remove its travel-related quarantine requirement in late 2022, which incentivized domestic consumption. With the government extremely wary of food inflationary pressure on consumers, a number of supportive measures on food producing and manufacturing, including business tax deductions on imported feed corn, were implemented to reduce the need for price increases, but also reducing the incentive for expansion in the sector.

Preliminary numbers from COA indicate both hog and poultry slaughter rates declined in 2022 with the rest of demand filled by meat imports.

Trade

Soybean Meal & Substitutes Imports

In MY2021/2022, soybean meal imports increased to 77,468 MT, up 48 percent from the previous MY. The United States accounted for 92 percent of volume.

Most soybean meal in Taiwan is produced and consumed domestically. Because the domestic crush industry consists of only a small number of players, crushers will balance out supply and demand through production adjustments, making soybean meal imports arbitrage opportunities rarely profitable.

Taiwan does not possess the necessary port facilities or logistics to import or store meal-type feed ingredients in bulk. As a result, most of the imports are containerized. The United States remains the main supplier of containerized soybean meal as well as the most price competitive.

For MY2022/2023, soybean meal imports are estimated to decrease to 70,000 MT based on the current buying pace. Container logistics and cost remain the main factor of trade volume.

In the absence of any domestically grown meal substitutes, other protein meal substitutes come from imports. In MY2021/2022 soybean meal substitute converted to Soybean Meal Equivalent (SME) was just over 209,000 MT, with the largest component being fishmeal, with a high protein content that is not easily substitutable.

Exhibit 6: Taiwan Imports of Soybean Meal Substitutes

Meal/HS Code (1,000 MT)	MY 2019/20	MY 2020/21	MY 2021/22
2301.20: Fish meal	141	138	135
SME (x1.445)	204	200	195
2306.49 Rapeseed meal	13	8	9
SME (x0.7115)	9	5	7
2306.50 Copra meal	13	10	10
SME (x0.4515)	6	5	4
2305: Peanut meal	1	3	2
SME (x1.124)	1	3	2
2306.60 Palm kernel meal	1	1	1
SME (x0.3557)	0	0	0
Total in SME	220	213	209
2304.40: Soybean meal	86	45	70

Source: Taiwan Customs Statistics; Trade Data Monitor, LLC

Exports

Market sources reported that MY2021/2022 soybean meal exports were above 80,000 MT, higher than the volume tracked by HS codes. Japan remained the largest destination for soybean meal exports followed by Vietnam.

MY2022/2023 and MY2023/2024 export levels are forecast at 60,000 MT and 70,000 MT, respectively.

Soybean meal exports, though still relatively small, have become an outlet for domestic crushers to optimize local soybean meal inventory. Market sources report that Taiwan has exported soybean meal to Japan, South Korea, Vietnam, the Philippines, Malaysia, and Thailand. Both regular and higher-value fermented soybean meals are exported. The intra-Asia market can respond quickly to supply and demand imbalances. These export flows are expected to continue but timing and volume will depend on price arbitrage. Taiwan has been able to take advantage of exporting opportunities thanks to reduced Chinese soybean meal exports due to weaker crush margin.

Stocks

MY2023/2024 ending stocks are forecast at 68,000 MT. MY2022/2023 stocks are estimated at 64,000 MT on lower crush and demand. MY2021/2022 stocks were 59,000 MT, lower than the previous estimate.

As Taiwan's oilseed crushing industry relies on a constant stream of soybean imports, as long as there is a predictable flow of soybeans coming to Taiwan crushers generally do not need to keep high stock level. With limited storage space and shelf life, crushers can adjust their crush programs to reflect market demand and with exports as an outlet. In recent years, soybean meal stocks usually fluctuate between 30,000 to 70,000 MT, and stocks tend to be lower when supply is tight and prices are high.

Meal, Soybean: Production, Supply, and Distribution

Meal, Soybean	**2021/2022**		**2022/2023**		**2023/2024**	
Market Year Begins	**Oct 2021**		**Oct 2022**		**Oct 2023**	
Taiwan	**USDA Official**	**New Post**	**USDA Official**	**New Post**	**USDA Official**	**New Post**
Crush (1000 MT)	2100	2075	2150	2025	0	2075
Extr. Rate, 999.9999 (PERCENT)	0.79	0.79	0.79	0.79	0	0.79
Beginning Stocks (1000 MT)	58	58	77	59	0	64
Production (1000 MT)	1649	1634	1689	1595	0	1634
MY Imports (1000 MT)	80	77	90	70	0	70
Total Supply (1000 MT)	1787	1769	1856	1724	0	1768
MY Exports (1000 MT)	10	80	10	60	0	70
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	1700	1630	1770	1600	0	1630
Total Dom. Cons. (1000 MT)	1700	1630	1770	1600	0	1630
Ending Stocks (1000 MT)	77	59	76	64	0	68
Total Distribution (1000 MT)	1787	1769	1856	1724	0	1768
(1000 MT) ,(PERCENT)						

Soybean Oil

Production

MY2022/2023 soybean oil production is estimated down to 365,000 MT while MY2023/2024 production is forecast at 374,000 MT, both based on levels of soybean crush. MY2021/2022 production was 374,000 MT due to slightly higher crush.

In recent years, Taiwan's soybean crush volume has been mainly driven by soybean meal demand, while soybean oil demand would act as a constraint when stock levels are too high.

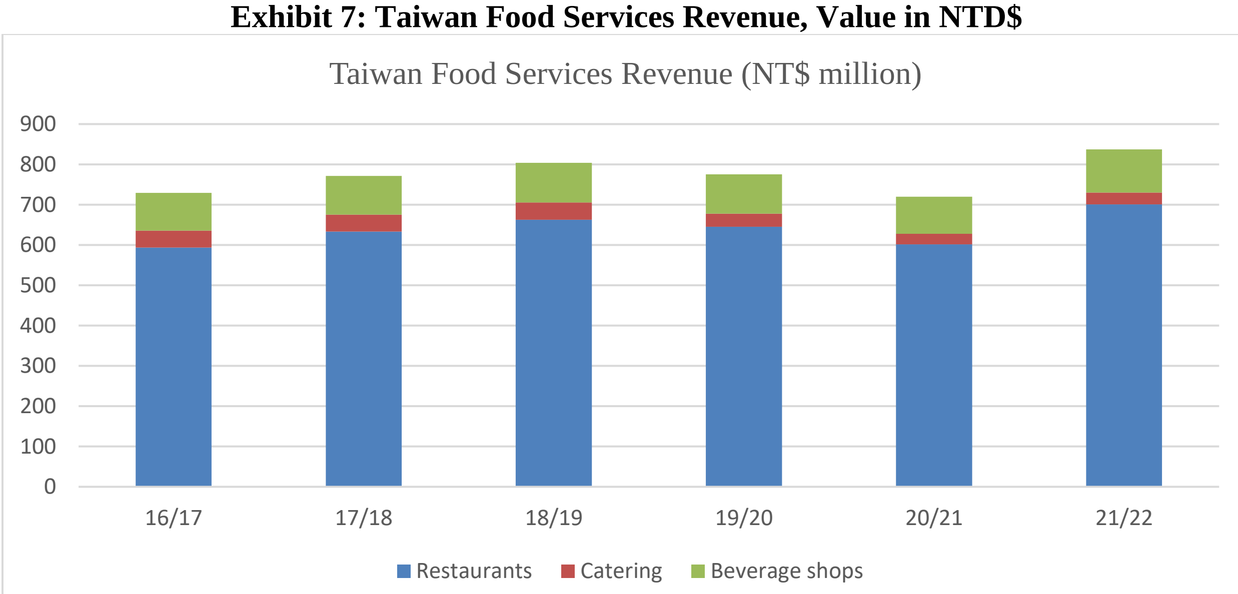
Consumption

MY2023/2024 soybean oil consumption for food use is forecast at 330,000 MT.
MY2022/2023 consumption is estimated down to 325,000 MT due to the recovery of palm oil imports.

Vegetable oil consumption was boosted by the pandemic recovery due to Taiwan's high vaccination rate and the success of gradually relaxing control measures, despite a short surge in COVID from April to June 2022. The lack of international travel options due to quarantine at border also boosted internal tourism and consumption. The majority of soybean oil for food consumption is in the HRI sector, which mainly reflects restaurants, public cafeterias, and catering. Based on MOEA data, MY2021/2022 food service revenue has recovered from MY 2020/2021 and surpassed pre-pandemic MY2018/19 (See Exhibit 7).

For household consumption, health-conscious consumers usually prefer non-soy single oil alternatives (olive, sunflower, etc.) over blended vegetable oil products (including soybean oil) due to marketing and perceptions of quality.

Exhibit 7: Taiwan Food Services Revenue, Value in NTD$



Source: MOEA

Trade

Taiwan relies on soybean crush for its soybean oil supply but exports a small amount of surplus production soy oil.

MY2023/2024 and 2022/2023 soybean oil exports are forecast at 20,000 MT. In MY2021/2022 soybean oil exports were 29,246 MT, an increase of almost 10,000 MT over the previous MY. Hong Kong remained the largest export destination with 8,116 MT, followed by Japan at 7,775 MT (See Exhibit 8). Increased exports of surplus soybean oil allowed crushers to sustain a higher level of crush without building excess inventory due to constrained demand for soybean oil.

Palm oil remains the main substitute for soybean oil by volume, although there are other vegetable oil alternatives which are more consumer-oriented. (See Exhibit 9).

Sunflower oil imports declined slightly in MY2021/2022, partly as a factor of higher prices from the Russian invasion of Ukraine, but was matched by increased imports of other vegetable oils including canola oil.

Exhibit 8: Taiwan Soy Oil Exports (1,000 MT) (Oct-Sep)

	MY 2018/19	MY 2019/20	MY 2020/21	MY2021/22
Total Exports	**25,286**	**18,465**	**18,169**	**29,246**
Hong Kong	1	249	9,152	8,116
Japan	5,437	3,068	1,520	7,775
Malaysia	10,313	6,206	1,094	1,878
Philippines	14	3	856	689
Vietnam	6,299	3,397	2,717	339
China	46	2,420	2,564	168

Source: Taiwan Customs Statistics; Trade Data Monitor, LLC

Exhibit 9: Taiwan Other Oil Imports (1,000 MT) (Oct-Sep)

Type of Edible Oil	MY 2019/20	MY 2020/21	MY2021/22
Palm Oil (HS1511)	224	216	209
Canola (Rapeseed) Oil (HS1514)	35	35	40
Sunflower Oil (HS1512)	20	20	16
Olive Oil (HS1509; HS1510)	10	11	13
Coconut Oil (HS151311; HS151319)	6	6	6
Total Non-Soy Oil Imports	**295**	**288**	**284**

Source: Taiwan Customs Statistics; Trade Data Monitor, LLC

Stocks

MY2023/2024 ending stocks are forecast at 13,000 MT while MY2022/2023 ending stocks are estimated at 9,000 MT.

Due to soybean oil being a co-product of soybean crush, crushers do not usually retain a large soybean oil inventory, especially with limited capacity and high storage costs. To maintain crush operations, crushers may decide to export or sell at a discount to maintain soybean meal production.

Oil, Soybean: Production, Supply, and Distribution

Oil, Soybean	**2021/2022**		**2022/2023**		**2023/2024**	
Market Year Begins	**Oct 2021**		**Oct 2022**		**Oct 2023**	
Taiwan	**USDA Official**	**New Post**	**USDA Official**	**New Post**	**USDA Official**	**New Post**
Crush (1000 MT)	2100	2075	2150	2025	0	2075
Extr. Rate, 999.9999 (PERCENT)	0.18	0.18	0.18	0.18	0	0.18
Beginning Stocks (1000 MT)	14	14	13	9	0	9
Production (1000 MT)	374	374	383	365	0	374
MY Imports (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	388	388	396	374	0	383
MY Exports (1000 MT)	20	29	18	20	0	20
Industrial Dom. Cons. (1000 MT)	20	20	20	20	0	20
Food Use Dom. Cons. (1000 MT)	335	330	345	325	0	330
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	355	350	365	345	0	350
Ending Stocks (1000 MT)	13	9	13	9	0	13
Total Distribution (1000 MT)	388	388	396	374	0	383
(1000 MT) ,(PERCENT)						

Palm Oil

Summary on Production, Trade, Consumption, and Stocks

MY2021/2022 (Jan-Dec 2022) palm oil imports were 230,000 MT according to Taiwan customs data, an increase of 6 percent from the previous year.

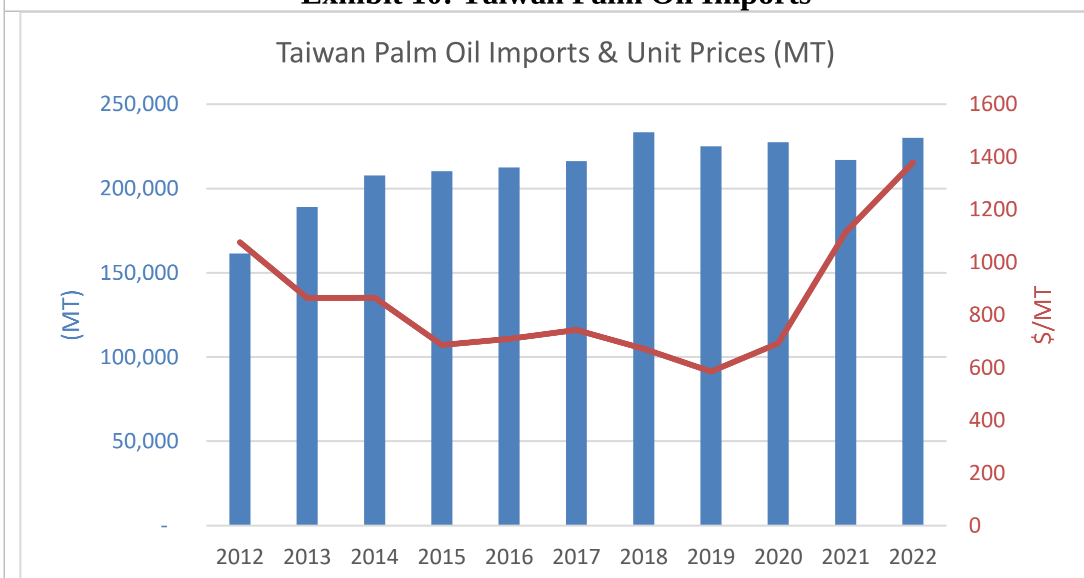
MY2022/2023 and MY2023/2024 palm oil imports are forecast at 225,000 MT. Ending stocks for MY 2022/2023 and MY 2023/2024 are forecast to be unchanged at 5,000 MT.

All of Taiwan's palm oil demand is met through imports. Palm oil serves as a cheaper alternative to locally crushed soybean oil and benefits from a zero percent import tariff. Palm oil also has other benefits for the food manufacturing sector. Historically, palm oil imports have been relatively stable (See Exhibit 10).

Palm oil and soybean oil are heavily used in the HRI sector. As such higher palm oil prices will encourage substitutions from other vegetable oils mainly soybean oil.

97 percent of Taiwan's palm oil imports originated from Malaysia due to existing joint ventures with Taiwan companies. This is not expected to change.

Exhibit 10: Taiwan Palm Oil Imports



Source: Taiwan Custom Statistics, Trade Data Monitor, LLC

Oil, Palm: Production, Supply, and Distribution

Oil, Palm	2021/2022		2022/2023		2023/2024	
Market Year Begins	Jan 2022		Jan 2023		Jan 2023	
Taiwan	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	0	0	0	0	0	0
Trees (1000 TREES)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	5	5	5	5	0	5
Production (1000 MT)	0	0	0	0	0	0
MY Imports (1000 MT)	225	230	235	225	0	225
Total Supply (1000 MT)	230	235	240	230	0	230
MY Exports (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	225	230	235	225	0	225
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	225	230	235	225	0	225
Ending Stocks (1000 MT)	5	5	5	5	0	5
Total Distribution (1000 MT)	230	235	240	230	0	230
Yield (MT/HA)	0	0	0	0	0	0
(1000 HA) ,(1000 TREES) ,(1000 MT) ,(MT/HA)						

Attachments:

No Attachments